This decision was widely applauded, with some people going as far as to say that this decision, more than anything else, would determine my legacy. In the event, the feared destabilization in the banking system did not materialize; but neither did fierce competition or innovation. My only reading is that the benefits of this move will take longer to manifest. My legacy hangs in the balance!

Another reform implemented on my watch was the introduction in mid-2010 a mid-quarter policy review essentially doubling the policy reviews from four to eight per year. The reason for this was that we found the prevailing gap of a full quarter between two policy meetings to be too long in what was turning out to be an uncertain macroeconomic situation. On several occasions, the fast-paced developments forced us into off-schedule policy actions which, although necessary, created market uncertainty. Besides, every data release triggered speculation about an off-schedule response from the Reserve Bank which compounded the already prevailing uncertainty. The mid-quarter reviews enabled the Reserve Bank to respond to the data flow in a more structured manner and helped manage expectations.

The introduction of the mid-quarter review reduced, but did not eliminate, the probability of an off-schedule policy adjustment. For example, in March 2012, we realized that systemic liquidity, already quite tight, might be further exacerbated because of advance tax payments due by the middle of the month. This happens because advance tax payments have the effect of transferring money from the open pool and locking it up in the government's account with the Reserve Bank. To ease the liquidity situation, we cut the CRR by 75 basis points just six days before the scheduled policy date, based on the judgement that waiting till the policy date would be too late.

Setting a Record despite Baby Steps

The global and domestic circumstances during my five-year tenure as governor were unique in many respects, and the Reserve Bank's policy